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THE POLITIC

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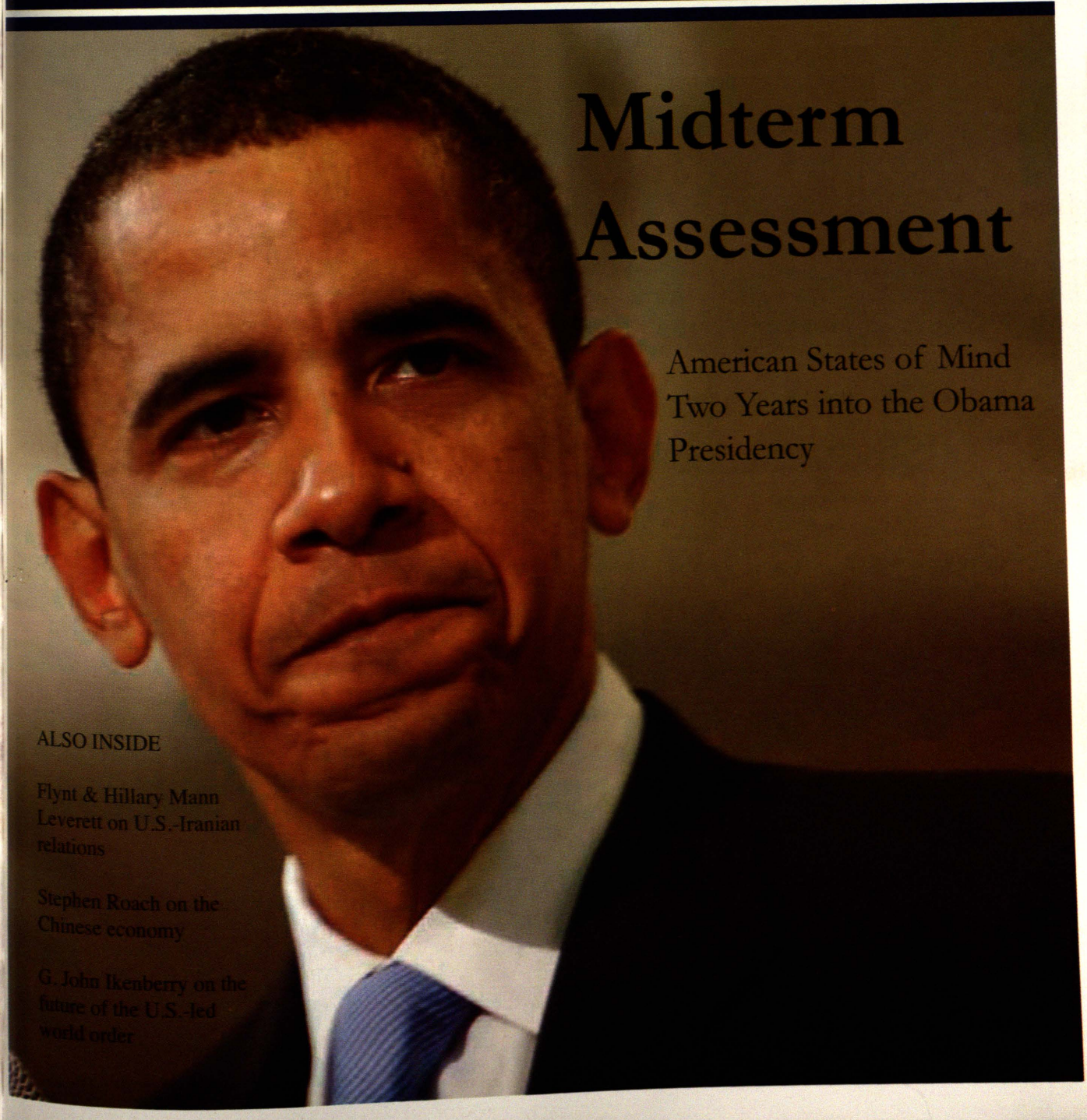


Midterm Assessment

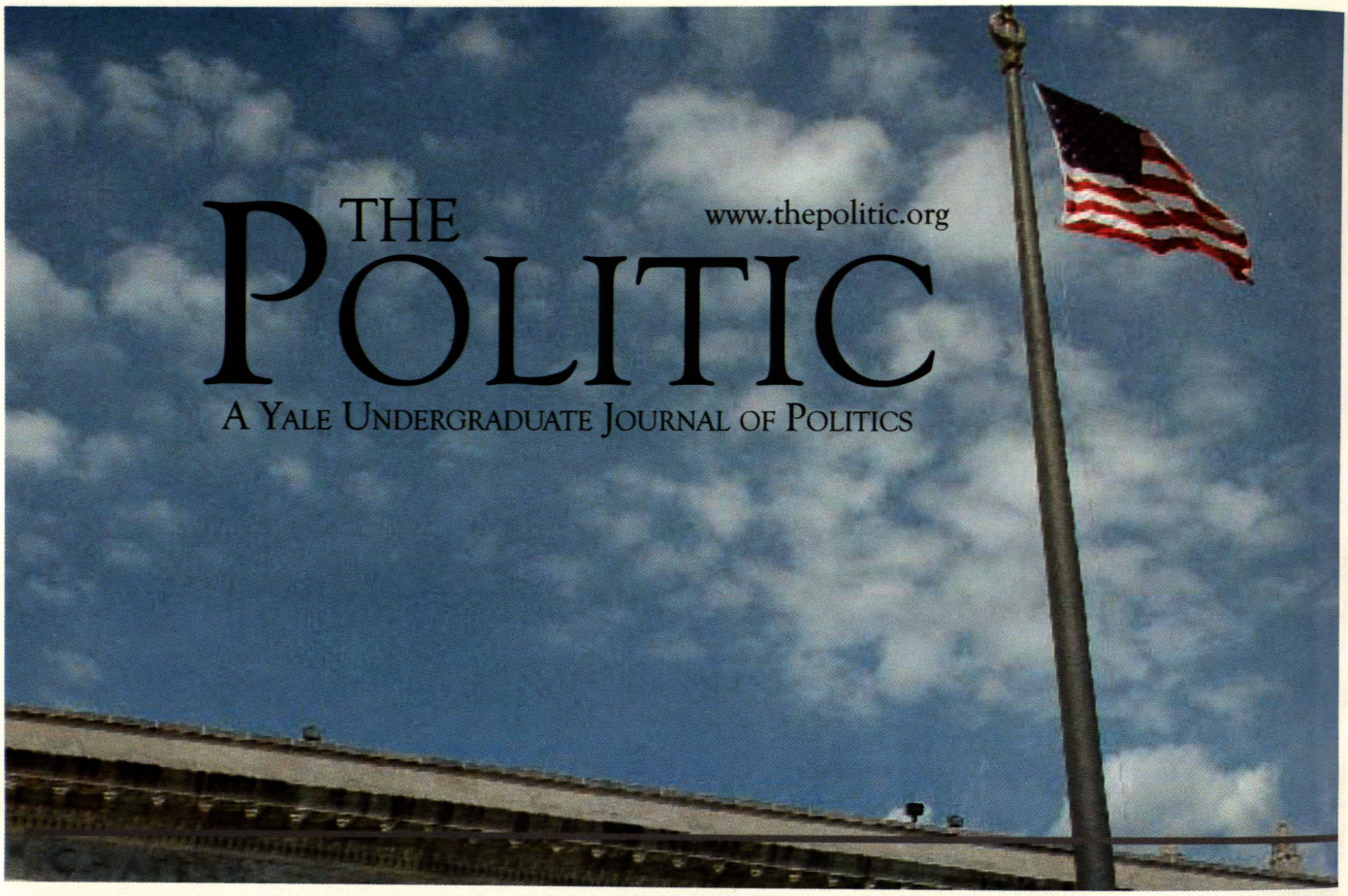
American States of Mind
Two Years into the Obama Presidency

ALSO INSIDE

Flynt & Hillary Mann Leverett on U.S.-Iranian relations

Stephen Roach on the Chinese economy

G. John Ikenberry on the future of the U.S.-led world order



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THE POLITIC

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Fall 2010

Dear Reader,

Midterm elections are bad for first-term presidents. No matter how popular they are, how much political capital they possess, or how well they can sink a shot from the three-point line, their party has almost invariably suffered losses in one or both chambers of Congress. Since 1946 there has only been one exception: the 2002 midterms, when Republicans rode to Congress on George W. Bush's post-9/11 wave of popularity.

As we write this note, the latest Wall Street Journal/NBC poll flashes Republican gains in House races. Among the 92 'most competitive' House districts, the GOP now maintains a 14 point lead over Democrats. Democrats have a tighter grip on the 12 Senate seats in play, although Republicans hardly need a majority to filibuster the Democratic agenda. Then there's those pesky Tea-Partiers...

So why? What are Americans voting for when they go to the polls? Or perhaps, what are they voting against? This issue of The Politic gets into the hearts and minds of voters, with publications from students in the Yale College Democrats, Yale Conservative Party, and an interview with Texas Representative (and member of the Tea Party Caucus) Lamar Smith.

Jack Newsham, of the Yale College Democrats, rails against recent claims that voting Democrat is just "the easy option." According to Newsham, students at Yale have more than compelling reasons to support the liberal agenda, from jumpstarting economic growth, to spreading social equality, and preventing global warming. While many liberals at Yale are disillusioned, they "cannot simply roll over and give up because our vote for Obama two years ago has not rectified the deepest recession we have seen in seventy years."

Harry Graver, whip for the Yale Conservative Party, counters that the liberal agenda is hardly as compassionate and egalitarian as it claims to be. As Graver argues, "Democrats have actually pulled off the greatest political move in modern history. They have monopolized compassion." For Graver, falling Democratic poll numbers reflect that voters are recognizing that the goals of the two parties are actually the same. The difference is the means. This election is the first step toward refocusing political culture, from inflated government to the free market as the agent of change.

Finally, Texas Representative Lamar Smith (R) adds his views about this midterm election's wildcard: the Tea Party. While pundits regularly pan Tea Party candidates as obstacles to Republican victories, Smith argues that "Tea Party members are very helpful to [Republican] efforts to regain control of our government." In the end, both parties have the same goals: preventing higher taxes and passing a balanced budget.

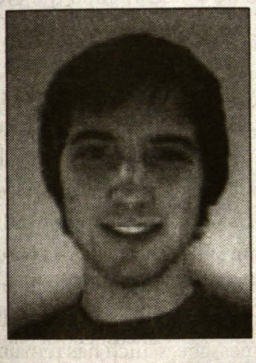
With tensions running high and only days left until the election, this issue of The Politic lets you know what's going through the mind of the student across the table.

Sincerely,

Mathew Andrews and Edward Fishman

Subdued Minority, Belittled Majority?

Campus Politics and Why the Midterms Matter



By Jack Newsham

Jack Newsham is a Freshman in Morse College. Newsham is a member of the Yale College Democrats.

You are so cool.

You, the campus Democrat. I am serious. And damn, are you looking good today. You are one among millions that encompass some really awesome people—from Jon Stewart to the Rolling Stones to our three-point dropping president himself, Barack Obama—who wear that badge of awesomeness. And, of course, what matters to you most is conforming, right? That is the coolest thing of all.

Well, maybe not.

But if you have been reading the Yale Daily News (YDN) or paying attention to the conservative discourse on campus, that is probably been the message you have been getting. Odds are, according to one recent conservative column, you are a liberal because "it's what everyone else is doing," and you probably do not have any "notion of...what or whom [you] are supporting." According to one commenter on the Yale Daily News' website, you liberals are pretty "uniformed and closed-minded." According to another column, you are "loud" and prefer to "shout down" your opponents rather than engage in thoughtful debate. Still yet another commenter is less willing to mince words: Yale liberals are all simply a bunch of "scum-sucking privileged crap buckets."

You probably do not sympathize with the Yale Democrats, as a recent YDN column by Alex Klein has suggested, just because they had a wacky music video and a long roster of supporters. You may actually prefer not to wear a suit to every political function, to drink port to PBR, or to think of yourself as a high-minded *philosophe*. But, in reality, the simple fact that you do not like to broadcast your beliefs from the podium of the YPU or to provoke a political bickering match with a conservative classmate at every opportunity does not mean your beliefs are simply the "childish regurgitation" that some on the right have labeled them. Simply put, the lack of ceremony and aggression often found among Yale liberals does not signal their ideological weakness or passivity, and perhaps only represents a different way from conservatives of expressing their political beliefs.

> *"The Yale College Republicans suffer from an 'enthusiasm gap' similar to the one often said to be facing Democrats in the upcoming midterm elections."*

Since two-thirds of the student body identifies as liberal, according to a 2009 YDN poll, it is surely a mistake to characterize such a broad group of people as some conservative Yale students have done. Moreover, judging by the frequent phone banking sessions, canvassing tours, and voter registration drives organized by Yale Democrats, the Yale Women's Center, and a number of other liberal-minded advocacy groups on campus, it seems that it is the Yale College Republicans who suffer from an "enthusiasm gap," similar to the one often said to be facing Democrats in the upcoming midterm elections.

But is the conservative gap at Yale the fault of liberal students, as some have suggested? Campus conservatives often argue they face an air of animosity at Yale—for example, the website of the Yale Free Press, a conservative student publication, purports to host Yale's "cadre of alienated conservatives." Yet, conservative students can give little evidence besides

anecdotes about eye rolls and awkward silences to confirm the existence of a dissent-choking political atmosphere at Yale. Moreover, where is the virulence from liberal students that conservative students reference? Did anyone tomato Karl Rove? Have liberal students actually "shout[ed] down" any conservatives, aside from an inordinate level of hissing par for the course at any given YPU debate? Have we crashed conservative organizational meetings with political signs and megaphones, as Yale College Republicans did at a liberal event in the aftermath of the 2004 elections? In all cases, the answer is "no."

Moreover, lacking a strong conservative presence at Yale, what events are there to crash? Yale's conservatives lack the equivalent to the progressive bazaar of liberal causes and organizations laid out in front of freshmen each fall. Conservative organizations similarly lack the electioneering machine utilized by the Yale Democrats. Despite this, however, the right at Yale does have several places it can call home. The YPU offers an ideological haven for many of Yale's conservatives. Warren Speth, SY '11, has announced his intentions to reincarnate the Yale Free Press, though he concedes he will mainly be "starting a lot from scratch." Nonetheless, most conservatives do not seem too disappointed with the decentralized state of affairs and seem perfectly content behaving as political free agents.

"Those students [who are] active on the right are engaged and motivated," remarked Alex Fisher, MC '14, who is involved with a number of conservative organizations on and off campus. Though they may not knock on doors around New Haven, "they involve themselves in the campaigns and initiatives that they feel best serve the interests of the wider conservative movement." He states that there are several students who work for Republican Linda McMahon, who is running for Senate in Connecticut, just not necessarily within the structure of the Yale College Republicans.

If the political culture on campus is not the problem, what explains the continued agitated tone of campus conservatives? One answer might be that conservatives on campus presume that being a Democrat is just "the easy option," as Fisher and James Lu, SM '14, wrote in their September 28 YDN column. But perhaps they *do* have a point. It makes sense that liberalism is "the easy option," as it certainly does not take much thought to realize how detrimental the GOP has been, and continues to be, to this country.

Christine O'Donnell, the Republican Senate candidate in Delaware, has boasted that she "didn't go to Yale" in a recent campaign commercial. Despite the derogatory tone of her reference to Yale, one must admit that she knows her constituency. This sort of anti-education populism practiced by O'Donnell and others is largely aimed at the reality-divorced hordes that make of the Tea Party. Unfortunately, such anti-elite rhetoric does a pretty good job of conveying the hostility of the Republican Party's central message, which has remained woefully unchanged in the past decade.

While the Republican Party has attempted to refashion itself in the past few months, the result of recent Republican policies could not be more clear. Perhaps you remember the destruction wrought upon the America's economy and national reputation by two terms of George W. Bush, '68. Perhaps you are turned off by John Boehner's recent pledge that he and his fellow Republicans "are not going to be any different than [they]'ve been." Maybe you do not trust the party that set the record for filibuster use and stalled bills in Congress via one-man legislative "secret holds." Maybe you stand in solidarity with gays and lesbians, including nearly one in five

President Obama sits with the Democratic leadership, House Speaker Nancy Pelosi and Senate Majority leader Harry Reid, in the Cabinet Room at the White House while discussing the state of the economy with House Minority Leader, John Boehner. (The White House/flickr)

Yalies, whom the GOP has vowed to treat as second-class citizens in its platform. Maybe you are a student of history and realize that it was the regulation of the New Deal and ensuing liberal economic policies that brought about the rise of the American middle class. Maybe you just want pot legalized—it's okay to be honest.

Perhaps most fundamentally, you may be sickened by the alternative of the Republican Party than proud to count yourself a member of what, frankly, can be a bumbling mess of a party. If the Fall Show was any indication, the above description fits a sizable portion of Yale students. At one point in the show, comedian Michael Ian Black asked the crowd, "How many of you are fans of Obama?" Aside from a few scattered hoots and claps, Woolsey Hall was silent. Sure, many of us probably proceeded with caution, presuming a bait-and-switch joke was in the works, but our reaction was certainly muted compared to how we would have responded just over a year ago.

"When did we drop "yes we can," a phrase Barack Obama uttered seven times in his 2008 victory speech while referencing the continued struggle ahead of us, in favor of "all right, we did it, you take it from here?"

Judging by this reaction, it is hard to believe that according to a YDN poll taken a week before Obama's victory, over 90 percent of Yale students were registered to vote, with an enormous 81 percent of those students planning on voting Democratic. Whatever happened to *that* positive enthusiasm gap? Have the famously liberal students of Yale simply given up because our votes were not rewarded with the immediate incorporation of Democratic Party platform into law? Did we honestly think the advancement of a progressive agenda was a one-day battle? Did we believe that the election of Barack Obama and sixty Democratic senators would instantly lead to the resolution of the conflicts in Iraq and Afghanistan, universal single-payer health care, and the acceptance of gay marriage?

We knew it would be a long path ahead of us, one fraught with violent opposition (oftentimes literally) and entrenched interests that would fight against change, from profiteering health insurers to drug-dealing Iraqi politicians. But when did we drop "yes we can," a phrase Barack Obama uttered seven times in his 2008 victory speech while referencing the continued struggle ahead of us, in favor of "all right, we did it, you take it from here?"

But there are some things we cannot do. We cannot let it end here. We cannot simply roll over and give up because our vote for Obama two years ago has not rectified the deepest recession we have seen in seventy years. We cannot give up because the issues we care about most deeply—be they gay rights, global warming, net neutrality, or a host of other topics about which we may righteously complain of a lack of action—have yet to be fixed.

In our two-party system, denying support to Democrats out of frustration can only hurt our chances to bring about the America we seek to shape. So if you are not registered in your home state and/or have not already voted by absentee ballot, get out there, get registered, and vote in Connecticut. Not because it is popular in our current political climate, but because our values and ideals are still worth the fight.

We cannot surrender the next two—or four, or six—years to a party that is eager to practice its proven brand of ineptitude at the level of national governance. From such issues as addressing global warming, to scaling down our military spending and leading our country out of a recession, we have to continue to give it our all, because there is so much left to be done.

Yes, we still can.

Citations from: Fisher-Lu letter to the YDN and comments section; Tatyana Bloom's Opening Speech for the Party of the Right at the Yale Poltical Union; Alex Klein's piece on campus political diversity; comments section of http://www.yaledailynews.com/news/2009/jan/30/conservatives-without-a-voice/

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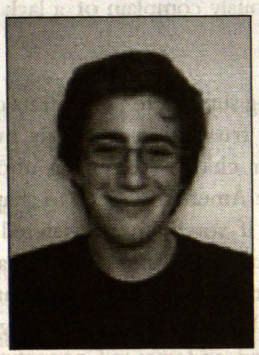
Why Liberalism?

Questioning the supremacy of progressive politics in and outside Yale



By Harry Graver

Harry Graver is a Freshman in Davenport College and a Whip for the Conservative Party of the Yale Political Union.

Despite having been here for only eight weeks, certain facets of the typical Yale student seem clear to me: they are motivated, opinionated, and intellectually confrontational. Succumbing to conventional wisdom or an unproven assumption is as unfathomable as wearing a Harvard shirt on Old Campus. However, the political sphere seems to be the one exception to this trend. Liberalism is a dogma that seems virtually unquestioned – even among those considered apolitical. Countless times I have heard from my fellow freshmen that "I don't really follow politics at all, but I'm definitely still a liberal."

Hailing from New York City and a high school that polled at roughly 90 percent liberal (we conservatives fought it out with the socialists and anarchists for second place), I have seen this societal compulsion towards liberalism beyond Yale's walls. For whatever reason, it seems our generation has willingly accepted that liberalism is an incontrovertible good – an ideology required for all those who value compassion, altruism and fairness. For even the most academically curious and hungry students, political ideology has been made into an axiom. This reality has caused me to struggle with the question "Why liberalism?"

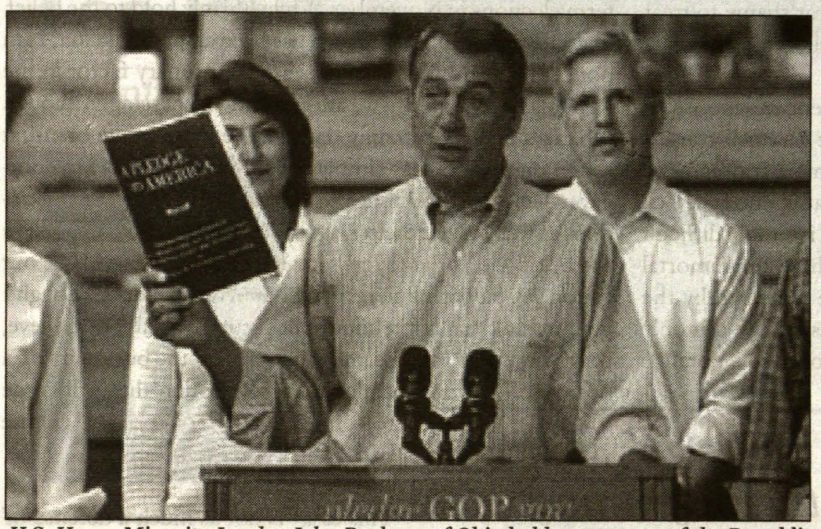
> *"Democrats have actually pulled off the greatest political move in modern history. They have monopolized compassion."*

It is first necessary to define liberalism since the term assumes many different meanings in political and economic philosophy. I am referring to the grounding principles of the Democratic Party – the liberal American political philosophy. Harvard's Political Glossary states that: "[Liberals] generally believe in some form of income redistribution, a social safety net, universal health care, progressive values, and a multilateral foreign policy." Although there is always a place for a substantive dialogue on policy, I do not think most students, as a whole, are wedded to liberalism because of its policies. Rather, our generation's liberal affiliation is derived from an idealistic wish to latch onto something greater than themselves.

John F. Kennedy's presidential nomination speech in 1960 better taps into what attracts so many young people to liberalism: "I believe in human dignity as the source of national purpose, in human liberty as the source of national action, in the human heart as the source of national compassion, and in the human mind as the source of our invention and our ideas. It is, I believe, the faith in our fellow citizens as individuals and as people that lies at the heart of the liberal faith. For liberalism is not so much a party creed or set of fixed platform promises as it is an attitude of mind and heart, a faith in man's ability through the experiences of his reason and judgment to increase for himself and his fellow men the amount of justice and freedom and brotherhood which all human life deserves."

Our worldviews are formed by a continual struggle between realism and idealism, with the latter's temptation only as great as its eventual shortcomings (as I will address later). While currently no one doubts that the Republican Party wields a powerful campaign machine, Democrats have actually pulled off the greatest political move in modern history. They have monopolized compassion. Somewhere along the road, conservatism became the ideology of the soulless profiteers and liberalism became the cause of the empathetic do-gooders.

History, however, tells a very different tale. Liberalism, and



U.S. House Minority Leader John Boehner of Ohio holds up a copy of the Republican's "A Pledge to America," released at Tart Lumber Company in Sterling, Virginia, September 23, 2010. (BigThinkPhot/flickr)

the progressive mandate of change, is the ideology of good-intentions gone awry as the crippling rigidities of idealism meet harsh realities. The short-term benefit liberals receive from a comforted bleeding heart has, repeatedly, led to the opposite outcome – for instance, a war on poverty cannot be waged simultaneously with a war on business or "the rich."

Now, I think one thing should be emphasized before discussing the different manifestations of progressivism. Conservatives have very similar normative ends as liberals. Conservatives want to address poverty, create a basic degree of opportunity for all citizens, and maintain a level of societal fairness. Conservatism's means are, as we all know, very different. Yet, the true discrepancy of each ideology's view of good governance is their competing understanding of impulse versus consequence. Time and time again, the liberal impulse has produced the opposite consequence.

We have seen this with rent control in cities across America. Many agree that homelessness is a problem and affordable housing is important – so the liberal impulse is to use government to force houses to be cheaper. On the surface, this appears to make perfect sense. Now we have more affordable apartments. Well, in fact the opposite eventually occurs – less apartments are supplied and those supplied, due to the vast excess of demand, fall into disrepair.

We have seen this with minimum wage laws placed on American manufacturing industries. There is an impulse to want every worker to have a healthy, living wage and a sufficient pension that is protected and guaranteed. Thus, the liberal response is to institute minimum wage and labor legislation. However, keeping in mind the characteristics of the globalized economy, a policy that fights the market price for labor does the opposite, namely greater unemployment and industries relocating overseas.

We have seen this with the housing market and financial collapse. It seems like a worthy endeavor that people should own their own homes no matter their economic situation. Should we care that, by private sector standards, these people cannot qualify for loans? Liberalism's response is "of course not – let's just have the government create institutions that will rubber stamp loans." For anyone who has read a newspaper in the fall of 2008, the result of such meddling has been clear (granted this behavior was shared, in part, by the private sector, but its impact was miniscule and only the product of greater governmental intervention).

I do not intend for this piece to be a critique of every application of liberalism, but the aforementioned examples are indicative of a larger trend: the nobleness of these policies' intentions are matched by the shortsightedness of their respective outcomes. The contradiction between liberalism's aims and its results can be seen both inside and outside of America's borders. For example, institutionalized poverty created by liberal policies has paralyzed some of America's greatest cities like Detroit, Cleveland, Philadelphia and Newark. In South America, the stagnant quality of life is largely attributable to socialist policies. In Western Europe, structural double-digit unemployment has been the product of devastatingly large central governments.

Before discussing the merits of the conservative alternative, however, I would like to offer a compromise. I am certainly not naïve enough to think that my words have caused the average Yale liberal to withdraw from his or her core political beliefs.

My plea is that we discuss the merits of progressivism on a different level. Every candidate, regardless of party affiliation, proclaims that "Washington is broken," a statement with which I wholeheartedly agree. With a country as diverse and complex as the United States, it is impossible to implement a progressive agenda through a large federal government. Liberalism may work efficiently, I argue, perhaps only on a state level. So even if we cannot agree on the definition of good governance, it is my hope that the largest functions of government, whatever they may be, are kept to a state and local level. Let the states be the laboratories for governance – it is the fairest and most efficient option (not to mention the only

economically stable one). It would be a great shame to treat states' rights and liberalism as mutually exclusive.

But, regardless of what level of government we choose to debate on, we should not be afraid of the C-word: conservatism. I concede that it is harder to become a conservative than a liberal. However, I do not think that is due to a lack of merit to the former's position. Rather, it is simply difficult to accept that life is often unfair and that there are immortal problems in human nature that cannot be remedied by the state. Conservatism embraces these realities, for we can only improve the world we live in once we remove the ignorance we have about its nature.

William F. Buckley provided a general definition for conservatism: "Conservatism aims to maintain in working order the loyalties of the community to perceived truths and also to those truths which in their judgment have earned universal recognition." I would also qualify this with an assertion by Henry Regnery: "Conservatism is not a fixed and immutable body of dogma, and conservatives inherit from Burke a talent for re-expressing their convictions to fit the times."

"The midterms will represent the beginning of a national self-evaluation that will come to significantly shift our political culture back to its center-right roots."

While a reverence for order, tradition, and institutional meritocracy contribute to the conservative identity, its effectiveness, success and power primarily stems from its fundamental appreciation for arguably the fairest and most just system of societal organization ever created – the free market. The free market, not just in an economical sense, but also in the sense of ideas and policies, has historically created an order that generally lifts up all citizens of a state and solves social evils immune to liberal governmental interference.

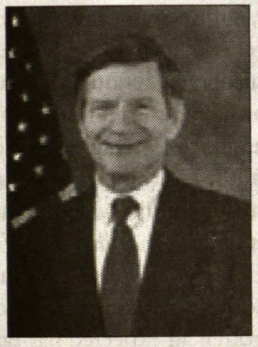
Southeast Asia's embrace of capitalism has allowed the region's quality of life to improve to levels unimaginable to previous generations, despite the initial sacrifices of sweatshop labor that characterized its capitalist emergence. Ireland's embrace of conservatism in the late 1980s ushered in the Celtic Tiger that did away with the "sick man of Europe" label that plagued the country for years. India's eventual embrace of the free market in the late 20th century set the foundation for its current economic explosion. Sooner or later it becomes clear that in the scope of proper governance, the hard thing is often the right (no pun intended) thing to do.

It is my hope that this realization will translate into the Midterm elections in November. While I firmly hold to the belief that Obama's domestic agenda has been an utter disaster, I am not sure that his policy failures are the primary factor in the Republican resurgence we are currently witnessing. Although Obama's failures certainly damage the progressive brand, it seems that voters may simply be anti-incumbent (a phenomenon that occurred during the Reagan and Clinton administrations as well). Nevertheless, as conservatives continue to starve the beast that is the federal government, sooner or later our nation will face an ultimate referendum on liberalism, though I do not think that referendum will occur this year. I do believe, however, that the midterms will represent the beginning of a national self-evaluation that will come to significantly shift our political culture back to its center-right roots.

This essay is not as much a defense of conservatism as a rebuke for the intellectual dishonesty our generation has accepted in its blind surrender to liberalism. I have briefly attempted to provide examples of conservatism's success in the face of liberal failure, namely how long-term effects can only be understood once realities are properly considered. The fact remains that we all want good governance. However, in order to bring about good governance, we have to challenge intuition. It is time we place our political identity under an acceptable level of scrutiny. We need to start asking the question, "Why liberalism?"

Tea Party: Help or Hindrance?

An Interview with Congressman Lamar Smith



Conducted by Liv Dowling

Congressman Lamar Smith represents the 21st Congressional District of Texas in the U.S. House of Representatives. Congressman Smith is the Ranking Republican on the House Judiciary Committee, helping to shape policy on crime, immigration, intellectual property, and constitutional issues. He also serves on the Homeland Security Committee and the Science and Technology Committee.Congressman Smith graduated from Yale University and Southern Methodist University School of Law.

You joined the Tea Party Caucus this past July. Can you tell us what factors led to your decision to caucus with them?

A number of members [of Congress], I think it is up to 30 or 40 now, have joined the Tea Party Caucus. The Tea Party Caucus members are not necessarily members of Tea Parties back home, but we wanted to show that we agree with many of their goals, among them the need for Congress to exercise fiscal restraint, the need to reduce our deficit and debt, and the need to put our economic house in order. Like many Tea Party [participants] themselves, many members of Congress are worried that we are spending too much—we are spending almost two dollars for every one dollar the federal government collects. More specifically we are borrowing 43 cents for every dollar we spend. No family, no community, no company, no government can continue on that road for very long otherwise you wind up in bankruptcy. So, we certainly agree with many of [the Tea Party's] economic goals, and this was a way of saying we do without in any way preempting them or speaking for them. We really are there simply to listen and let them know that we appreciate their independence and that we are with them on a number of issues.

> *"[The Tea Party does] represent a broad variety of people concerned about the direction of the Obama Administration, who quite frankly believe we are teetering on the brink of losing the America we love."*

Does the Tea Party Caucus get involved in promoting actual Tea Party candidates for office?

That is a separate issue and members of Congress may or may not support Tea Party candidates around the country. That is an altogether different subject. Many members of Congress, and particularly Republican members, I think, would like to have and appreciate the support of Tea Party members. But the fact that we are members of the Tea Party Caucus does not automatically mean we would support Tea Party candidates across the country.

You have been in Congress for 23 years, so you have seen the Republican Party evolve through several transitions from the height of the Reagan Administration to President Clinton and the Republican Contract with America, for example. Does the recent Republican resurgence and the Tea Party movement represent another big transition in the Republican Party?

I do see a number of groups coalescing and going the same direction, and broadly speaking I think they are all members of the 60 percent of the American people who think that the country is going the wrong direction. I am not sure that the Tea Party initiative is at the level of what was done by Thomas Paine and the revolutionaries of their time, but the Tea Party effort does represent perhaps as many as a quarter of the American population. They do represent a broad variety of people concerned about the direction of the Obama Administration, who quite frankly believe we are teetering on the brink of losing the America we love. We have an administration that seems to want to punish private enterprise and wants more government control. The Tea Party folks,

like many members of Congress, want the American people to keep what they earn and want the federal government to live within its means. That does provide common ground for many Tea Party members and Republican candidates.

The presence of the Tea Party has led to some awkward situations for Republican candidates. Could that presence potentially cause problems in the future if the Tea Party continues to divide Republican races?

There are one or two races around the country where it might lessen our opportunity to win an election. I think in those instances, it is very much the exception to the rule. I think in most races the Tea Party members are very helpful to efforts to regain control of our government. I see their influence as being helpful in the vast majority of cases, even if there are a couple of other instances where their influence [can negatively affect Republican races]. For example, I wished that the incumbent or that the mainstream Republican might have won in some races. That might be the case in Alaska; that might be the case in Delaware, for example, where we had [Senate candidate] Mike Castle, who I thought had a better chance to win in November than [Christine] O'Donnell. The election has not yet occurred. Maybe Tea Party candidates will still win, but even if they do not, as I say those are only one or two races where they might have hurt Republican chances of being elected. But, there are going to be many other races where they have been helpful to Republican candidates.

Tea Party supporters gather on the National Mall in March 2010 in an effort to halt health care reform. Congressman Smith believes that while Tea Party candidates may negatively affect some Republican races, their involvement is generally an asset to the Republican Party. (Tea Party Movement/flickr)

What are you hearing from constituents in how they perceive the direction of the country? Are there particular issues or policies they are particularly concerned about?

The number one issue for my constituents, and I think for many people around the country, is the economy. We in Texas are fortunate enough to have an employment rate a full point below the 9.6 percent unemployment rate around the country. But even 8.5 percent [unemployment in Texas] is way too high and has resulted in too many Texans not getting jobs. They are becoming so discouraged that they stop looking for jobs. The Washington Post had an article recently, which pointed out that 10 percent unemployment means that almost half of American families are adversely affected because they know at least one family member who has lost their job, who is looking for work, who has not gotten an expected pay raise, who is working part-time when they would rather be working full-time. So, that 10 percent unemployment rate has a huge impact, and not only a huge impact on families but on the economy as well as many Americans cannot contribute to the economy by being productive, which reduces economic growth.

But as to the things I am hearing, it is mainly along economic lines. There are two examples of that, which I think people are becoming more aware of, giving them an incentive to participate and vote. The first [example] is that Congress went into recess for first time in 35 years without proposing a budget. In other words, the Democratic leadership was not willing to tell the American people before the elections how they were going to spend their money. That is totally unconscionable and irresponsible. We also left town without telling the American people how much we were going to raise their taxes. The tax relief that was passed in 2001and 2003 expires at the end of this year and if Congress does nothing, every single person who pays taxes is going to pay more taxes. It was irresponsible of us to leave town without voting on whether or not to extend that tax relief.

The American people see what is going on and I think that is why they are often disenchanted with the party

in power, the Democrats. The Democrats are not being honest with the American people; they are not telling them how they are going to spend their money; they are not telling them how much they are going to raise taxes. They are not leveling with the American people as far as their future is concerned and think that is not the best way to try and attract support. To the extent that there is a change in our Congress, I think these types of issues are going to convince people.

One other point to make is that many Americans realize that a one-party monopoly (the same Party controlling the White House, the House of Representatives, and the Senate) is not necessarily good for the country. If Republicans do regain control of the House, for example, we will have the sort of checks and balances inscribed in our Constitution. I hope that will lead to less divided government, more bipartisanship because it will mean any legislation will have to be supported by both Republicans and Democrats. I think that will beneficial to the American people as well.

"To the extent that the Republican Party has been the party of "no," they have been the party of "no" in the right ways."

No matter the result of the coming midterms, it is clear that the Republicans are likely to make substantial gains in the House of Representatives. This puts you in the tough situation of possibly having to still work with a Democratic Senate and if not that, at least a Democratic president, for another two years. How do you see Republican majority House changing the atmosphere in Washington?

For the last several years, I have worked with Democrats on any number of pieces of legislation, so that kind of bipartisanship still exists. I think the partisanship seen on the floor of the House and the floor of the Senate is the worst I have seen in all my years in Congress. That [result] is more or less attributable to the Democratic leadership, because it is really up to them to determine what the environment is and whether there is going to be bipartisan support. For example, the Speaker of the House [Nancy Pelosi] has had 40 more Democrats than Republicans [in the House] and she has not felt like it was necessary to talk to Republicans or have their input. If Republicans regain control of the House, that is obviously going to change and bipartisanship will be necessary because the Republicans are not going to pass anything without the support of Senate, if it does not change hands. The Democrats similarly cannot accomplish anything without the support of the House. There are some who believe [the results of the Midterm elections] will lead to more stalemate and gridlock. I do not fall into that camp. I think that there will be more bipartisan bills enacted because most people are [in Congress] to legislate; we are there to enact legislation and pass laws that will help the American people. So, rather than gridlock, I think we will see more bipartisanship if Republicans do regain control of the House.

As you know there have been numerous accusations from the Left that for two years the Republicans have been the party of "no." Will a Republican House change that depiction at all?

To the extent that the Republican Party has been the party of "no," they have been the party of "no" in the right ways. They have been opposing excessive government spending, excessive taxes, and excessive government control. On the other hand, I do not think that has been an accurate label because if you look back you will see there are a number of legislative initiatives that Republicans have proposed. Oftentimes, that [fact] is ignored by the media, but Republicans have been promoting ideas the entire time we have been in the minority. We have obviously have trouble enacting those pieces of legislation by being in the minority. Again, that may change and we may have more bipartisanship if the Republicans control the House.

Is there any legislation you expect the House will immediately move on once the members return in January? Any legislation you personally would like seen moved through the House in the near future?

Starting with what the House should do immediately, they should move to continue the tax relief we have enjoyed in the last several years. I do not know of anybody who really believes that an increase in taxes is going to create jobs—I certainly do not. We at least need to send the signal to the American voter that we are serious about reducing the deficit and limiting future increases in federal spending. [These issues] should be among our first items of business.

Personally as to what I would like to see done, if the Republicans become the majority in the House, I would expect to become Chairman of the Judiciary Committee. I would like to see more done to enact patent reform legislation, in order to protect American patents and trademarks essential to our economic growth. Likewise, I would like to see us protect the border and protect us from terrorist attacks. I would like to see us enact some lawsuit abuse reform. There are simply too many frivolous lawsuits and we ought to reduce them as much as possible.

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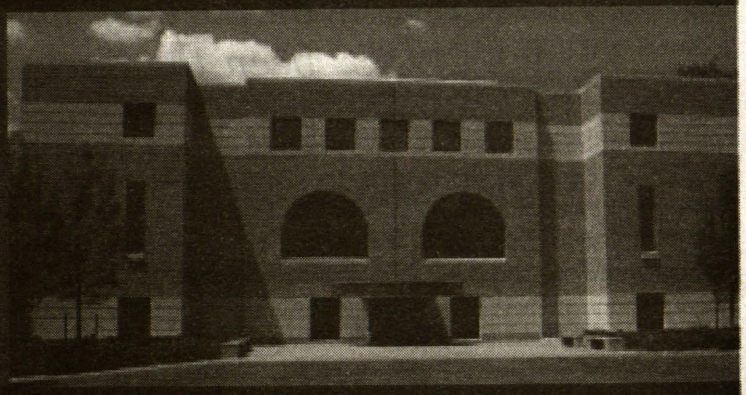

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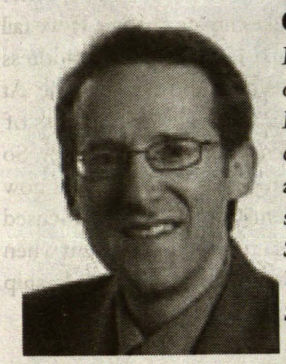
Fighting Crimes Against The Earth

An interview with David Uhlmann



Conducted by Nicholas Rugoff and Jaclyn Delligatti

David M. Uhlmann is the Jeffrey F. Liss Professor from Practice and the inaugural Director of the Environmental Law and Policy Program at the University of Michigan Law School. His research, writing, and advocacy interests include criminal and civil enforcement of environmental laws, Clean Water Act jurisprudence, worker endangerment, and efforts to address global climate change.Prior to joining the Michigan Law faculty, Professor Uhlmann served from 2000 to 2007 as the Chief of the Justice Department's Environmental Crimes Section, which is the top environmental crimes prosecutor in the United States. Professor Uhlmann received a J.D. from Yale Law School and a B.A. in history with high honors from Swarthmore College.

NR: Firstly, what makes an environmental case criminal?

An environmental case could be criminal whenever a violation of the environmental laws occurs with the mental state required by the governing statute, which in most cases is knowledge of the underlying facts (but not knowledge of the law). Many environmental violations occur with knowledge of the facts, however, so the Justice Department has broad discretion to determine which violations should be treated as criminal. While every case must be evaluated individually, the most relevant factors are the harm resulting from the offense, the presence of false or misleading conduct, whether the offender operated outside the regulatory system, and whether the offender has a history of violations.

JD: Moving to the BP oil spill, what are your views on how it is going to be resolved legally?

The United States will bring criminal charges based on the Gulf oil spill. BP, Transocean, and Halliburton committed criminal violations of the Clean Water Act if the spill resulted from their negligence, which will not be difficult for prosecutors to prove in the Gulf oil spill. There also were violations of the Migratory Bird Treaty Act as soon as the oil from the spill coated migratory birds, and there may have been violations of the Seaman's Manslaughter Statute, which makes it a crime to negligently cause the death of workers aboard a vessel, such as the Deepwater Horizon Rig. In addition, the Justice Department will look hard at whether BP and the other companies involved were honest with the government about conditions at the well in the weeks before and after the spill. In that regard, the question is whether corporate officials were forthright in their dealings with the government or if they spun the facts and withheld information about what happened.

NR: How does the responsible corporate officer doctrine apply to high-level BP management?

Whether individuals will be charged for the Gulf oil spill is a difficult question. The same violations that may have been committed by BP, Transocean, and Halliburton could be charged against the individuals involved. But whether charges will be brought depends on whether there were individuals with enough personal involvement in the events leading up to the oil spill who were high enough up in the

Companies like BP, Transocean, and Halliburton may face criminal charges following the massive April 20 oil spill in the Gulf of Mexico. (NASA / Creative Commons)

corporate chain of command to be appropriate targets for criminal prosecution. Theoretically, the government could charge low-level employees, but they are not likely to do so because those are not the people who made the decisions that led to this tragedy; they simply carried out orders from their supervisors. So the question is whether the Justice Department, working with the EPA, F.B.I., and the Coast Guard, can identify responsible supervisory officials at the various companies with enough awareness about what was going on at the well to make them appropriate defendants. Under the responsible corporate officer doctrine, the government has the ability to go after higher-level officials within BP, Transocean, and Halliburton, if they knew about what was going on and failed to step in and prevent the negligence that led to the oil spill. The responsible corporate officer doctrine is a useful tool for prosecutors, but it remains unclear how much significance it will have in this case. It tends to be used more often in cases where there is longstanding misconduct and awareness among high-level officials about the misconduct, not a one-time event.

JD: What do you believe the ramifications of the spill will be in reshaping environmental law?

The Gulf oil spill should be a wakeup call for us to become better stewards of the environment. For too long, we have treated the earth as a resource to be depleted, as opposed to a complex ecosystem that needs to be protected and preserved. The Gulf oil spill is a classic example of our shortsightedness: we developed the technology to drill miles beneath the floor of the ocean, without perfecting the technology to stop a spill like this if it occurred. What the future holds for environmental law is not clear, but we hopefully will see renewed efforts to balance resource use and habitat protection. We need to focus on sustainable use of the earth's resources, which means that we must conduct drilling activities and other efforts that could be harmful to the environment in a way that protects the earth and prevents this kind of environmental damage in the future.

NR: Studies have shown that younger generations are more concerned about climate change and the environment. How do you see this shift affecting environment law?

The generation of students in colleges and universities across the United States will have a profound influence on how we approach climate change and sustainability issues, if they remain as concerned as they are today about environmental protection. In the past, we have put more short-term economic interests ahead of long-term issues like environmental protection. That is not surprising; it is human nature to focus on our most immediate challenges. But we need to do a better job focusing on long-term issues like climate change. If we fail to take meaningful steps in the next 15 to 20 years to address climate change, the consequences could be catastrophic. At a minimum, we will see economic dislocation and a loss of biodiversity never before experienced in human history. So it is a moral and political imperative that we take steps now to address climate change. Students today are well focused on this need and hopefully will retain that commitment when they enter the workforce and eventually assume leadership positions.

"The Gulf oil spill should be a wake-up call for us to become better stewards of the environment. For too long, we have treated the earth as a resource to be depleted..."

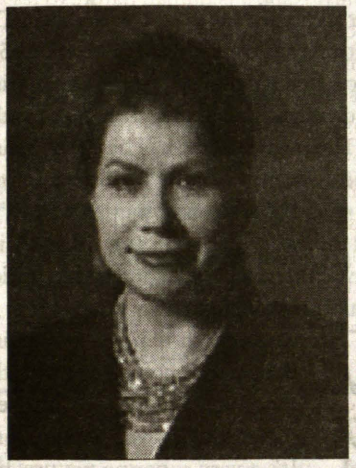
NR: How would you rate President Bush and President Obama's records on criminal enforcement for environmental violations?

The Bush and Obama administrations have dramatically different environmental records. The Bush administration had one of the weakest environmental records of any modern presidency, while the Obama administration already has made important strides on a number of significant environmental issues, including efforts to address climate change. Yet in the area of criminal enforcement, there has not been a significant difference between the Obama and Bush administrations. Across both Democratic and Republican administrations, a consensus has emerged that the most egregious violations of our environmental laws should be criminally prosecuted. Different administrations may arrive at that conclusion for different reasons. But one of the positive developments in our environmental law system has been the emergence of a strong and well-integrated criminal enforcement program that enjoys support across administrations. This has made criminal enforcement what it should be – a nonpartisan effort that helps to ensure that companies across the United States meet their obligations under environmental laws.

To read the rest of this piece, please visit our new website at www.thepolitic.org.

This Time is Different

An interview with Carmen Reinhart



Conducted by Nicholas Rugoff and Joseph Mensah

Carmen M. Reinhart is Professor of Economics and Director of the Center for International Economics at the University of Maryland. She received her Ph.D. from Columbia University. Professor Reinhart held positions as Chief Economist and Vice President at the investment bank Bear Stearns in the 1980s. Subsequently, she spent several years at the International Monetary Fund. She is a Research Associate at the National Bureau of Economic Research, a Research Fellow at the Centre for Economic Policy Research and a member of the Council on Foreign Relations. Her work has helped to inform the understanding of financial crises for over a decade and is frequently featured in the financial press around the world. Her latest book (with Kenneth S. Rogoff) entitled This Time is Different: Eight Centuries of Financial Folly documents the striking similarities of the recurring booms and busts that have characterized financial history. It has been translated to 13 languages.

NR: What are the key signs of an impending bust? What indicators are good signals for investors or policymakers?

Well, there are different kinds of impending busts. If you're talking about a financial crisis like we saw in 2007-08, then the impending signs are surges in asset prices that often go hand in hand with rising leverage and debt. Those debts are not just domestic debts but also often fueled by the country as a whole with borrowing from abroad. In other words, when you hear we've been running current account deficits in record levels for many years, that's borrowing from abroad. So, a lot of liquidity that facilitates borrowing that fuels asset prices, and housing and equity prices in particular, is the telltale sign of an impending financial crisis. There are of course other kinds of crises such as sovereign debt crises, a la Greece. The things you watch for those are government deficits, and the interest service on those debts and deficits.

NR: What have been the major tipping points or catalysts for booms to turn into busts?

The nature of the boom is one in which debt relative to income is rising steadily. At the personal level, let's say you get a cut in wages. You didn't lose your job; it's just a salary cut. This will likely have no effect on your solvency if your debt levels are low. However, the same cut in your salary may be dangerous if you have very high debt as, for example, you may have to foreclose on your mortgage. What I'm saying is that there's a trigger factor. It could be a rise in interest rates, a slow-down in growth, or an external shock, such as bad news from abroad. The nature of the shock could be all over and in healthier circumstances might not have been a tipping point, but in highly leveraged circumstances, it's enough to trigger a crisis. In the United States, if you go back to 2007, the mortgage industry had begun to sour. This leverage process turned into outright insolvency – Bearn Stearns and the like. And so you have a trigger.

NR: Has it historically been one defining event? Or has it been a combination of events?

You would definitely say that the last event was the proverbial straw that broke the camel's back. But you need plenty of straws, usually beforehand. I cannot stress that enough. Severe crises usually culminate in fairly long periods in which you had an economic feast. Growth and big increases in asset prices are generally favorable prospects that are importantly fueled by building up debt. The culminating factor whether you call it Bear Stearns or call it Lehman, is just that, the culminating factor. Lehman or no Lehman, Bear Stearns or no Bear Stearns, the insolvencies in the mortgage area were already mounting. In Turkey in 2001 you had a minister literally throw a book, which triggered a political event, which triggered a crisis. Now is book-throwing the event? Or is it the fact that you already had an untenable situation after which any political discourse could lead to crisis?

NR: How can the Fed determine when an asset bubble is actually occurring? If it can, what policy instruments should it use to burst it?

Well look, I can be holier than thou and tell you that our understanding of what defines models of bubbles are very difficult to test empirically to determine whether the run up in prices is a bubble or not. But that's very unsatisfactory and unappealing to me. You may not know if there's a bubble or not, but certainly you know two things. One is if the price

increase is unusually large relative to historic marks, which you can answer without having an underlying idea of what the fundamental base price is. You at least know if the price went up or not. You also know if the price increase was fueled by debt build up. If this was the case, the case for a central bank being concerned about the rising leverage is a very strong one.

JM: What role have commodity prices played in crises?

Let me give you a very concrete example. If you look at Latin America and the emerging markets at large, commodity prices played a very similar role to housing in the United States crisis. Namely in the late 1970s, after you had the oil shocks, commodity prices took off. In that boom in commodity prices, American banks literally tripped over themselves to lend to Latin America and other commodity producing countries. Basically under the assumption that commodity prices would continue to increase, and that the debt would be serviced, which of course turned out to not be the case. A debt crisis ensued, and these nations defaulted. So, if you look at this case and substitute real estate, then that's sort of the situation in the United States. You had the perception that real estate prices would continue to rise. You guys interviewed Bob Shiller and he's very prescient in his analysis of all this. Real estate prices would continue to rise, therefore, a) lending to real estate was a good idea and b) if the person or counterparty you were lending to was not actually creditworthy, then you had good collateral in that the loan was secure by the value of the real estate, which of course didn't consider the fact that the real estate values could crash, just as the commodity prices crashed. So what I'm saying is that commodity prices move historically and nations that are big commodity producers have contributed to the roller coaster. During the years in which you had the boom cycle, these nations borrowed beyond their means and then found that when commodity prices turned sour, they could no longer afford to service the debt that they had undertaken. Commodity prices have played a much smaller role in the current crisis, which is predominantly in the advanced economies of the United States and Europe, but they certainly played a huge role in the crisis of the late 1970s and early 1980s.

> *"Severe crises usually culminate in fairly long periods in which you had an economic feast."*

JM: Last month, Robert Shiller estimated that seven years of "bad times" might lie ahead for the US economy. He drew these conclusions from your paper "After the Fall." What are your thoughts on this?

In brief, in that paper we looked at the decade after a financial crisis. Ken Rogoff, a Yale alum, and I had looked specifically at the immediate antecedents and aftermath of crises. In "After the Fall," we took a longer perspective. What we found is that for fifteen of the worst financial crises since World War II, the decade after the crisis was characterized by GDP growth about 1-1.5% lower, unemployment rates about 5% higher, and housing prices that remained lower than pre-crisis levels. We're in the third year here as the crisis began for the United States in 2007. The scenario that has been unfolding thus far, is displaying these commonalities. The private sector built up huge amounts of debt, which is something that I've been highlighting in all my work with Ken Rogoff and Vincent Reinhart. Now we're in the de-leveraging phase, which takes a long time. It takes between seven and ten years to work down debt to something that's more consistent with the long-term trend. That's where those seven years come from. It's a very sobering picture, but I think that looking for quick fixes in a situation like this is not very realistic.

JM: Given your research, what types of policies would you like to see the Fed implement?

Well, this is also beyond the Fed. The "This Time Is Different" syndrome where "these things happen to other people, but not to us" is one that Ken Rogoff and I highlighted in our work to describe the boom. You have all the warning signs but you ignore them. The "This Time Is Different" syndrome also plays on the downside. So Japan had, for a number of years, delayed the process of cleaning up its balance sheets by writing down non-performing loans. These were the so-called 'zombie loans'. We still have quite a lot of zombie loans in our financial sector balance sheet. Expediting the process of deleveraging would be a very desirable objective. How do you do this? Well, the non-performing loans not written down. They're not written down because 1) you don't have to mark-to-market, so you can have loans that are based on book value as opposed to current value and 2) you have zero interest rates. That combination is not conducive to having banks write down debt. So, I think, moving towards another realm of clean up of the financial system balance sheets is important. This involves the Treasury as well as the Fed.

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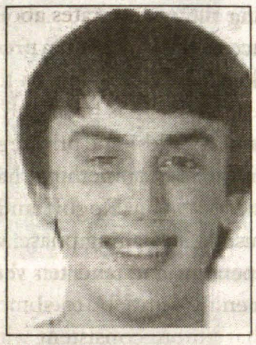
The Growing National Debt

Implications for the Future



By Jacob Effron

Jacob Effron is a sophomore in Silliman College.

The United States currently has a debt of $13.5 trillion*, and this number is growing every day. In fact, in the ten seconds since you've started reading this article the debt has increased by $350,000. The annual revenue the federal government takes in currently accounts for only 61% of its annual spending. By the end of the year our national debt will have reached 62% of our nation's Gross Domestic Product (GDP). Since World War II, our national debt has made up on average 40% of GDP. If no new legislation were introduced, our debt would be 80% of our GDP in 2035. Additional spending or future tax cuts would increase this number.

As national debt increases, the government must devote more of the budget to pay interest on this accumulated debt. Consequently there will be less money available to provide the services US citizens currently receive, and expect to receive. And as opposed to government money going to infrastructure investments and federal programs such as Medicare and food stamps, more and more will be going to foreigners who now hold half of US treasuries.

> *"The debt problem stems from more than the events of the last decade. A systemic problem was brewing long before the recession and wars."*

In the worst case scenario, the government could rack up a debt large enough that investors would worry about the government's ability to pay it back. This would increase the interest rate on Treasuries, which would make the annual interest payments on the debt even larger. Investor worries could lead to an end of the dollar's reign as the world's reserve currency.

There is no question that part of the reason the national debt has skyrocketed in recent years is due to the recession. The weakening economy has led to a decrease in tax revenue, and stimulus measures to end the recession have added to the debt. The wars in Iraq and Afghanistan have also increased spending. But the debt problem stems from more than the events of the last decade. A systemic problem was brewing long before the recession and wars, as the government's mandatory obligations (those that under mandate automatically receive funding) have become more difficult to fund. Namely, an aging population and rapidly rising health care costs have increased the cost of social services such as Medicare, Medicaid and Social Security. In 1975, these programs accounted for 27% of federal spending. Today, that figure has ballooned to 46%. There has not been a revenue increase large enough to cover this growing cost. What worries fiscal experts is that this trend of growth will continue because of the growing cost of healthcare spending.

Today spending on mandatory healthcare programs accounts for 5% of GDP. And by 2035 CBO projects our spending on these programs will account for 10% of GDP. According to CBO, though the recent healthcare reform bill will slightly reduce the debt over time it does not make a significant enough dent to bend the rising healthcare cost curve. The massive growth in healthcare spending is attributable to new technologies and the aging as well as increased life expectancy of our population. But it is primarily attributable to medical price inflation, which greatly exceeds regular inflation. CBO projects that 80% of the increased costs in healthcare over the next 70 years will be due to healthcare prices.

One potentially fruitful area for fighting the debt is tax expenditures. These are tax breaks given to filers in a specific category, and Fiscal Commission co-chair Erskine Bowles has called them "spending by another name." Targeting these niche exceptions could raise revenue without raising the tax rate on most Americans. And in leveling the tax rate that Americans have to pay, it could be seen as a fair move. Proposals from a recent paper by the Brookings Institution's Bill Galston and The New America Foundation's Maya McGuiness include capping spending areas that are appropriated on an annual basis at a certain percent of GDP. They propose raising the premium rate for Medicare members, raising the retirement age for Social Security (whose trust fund will be exhausted in 2037 and is now in a phase of negative cash flow) and increasing revenue (through a carbon tax or other sort of tax).

Others have proposed eliminating the Bush tax cuts, which are set to expire at the end of 2010. If the Bush tax cuts were to expire, the government would receive revenues around 23% of GDP as opposed to 19% if the cuts were extended. While this higher number would not completely solve the gap between expenditures and revenue, it would make for fewer spending cuts.

Administration officials have taken the first steps to combat the debt by establishing a bipartisan Fiscal Commission to issue recommendations by December 1 that would lead to a balanced budget excluding interest payments by 2015 and a stable long-term fiscal path for the United States.

Many politicians have been hostile to fighting the debt now while the economy still reels from the recession. But experts have been adamant that fiscal stimulus now and a plan to reduce the debt in the future are not mutually exclusive. Namely, if the government agrees to a plan that markets believe will work, it could shore up faith in the government's ability to deal with this debt even while the debt was increased by further stimulus. The Commission's recommendations could be written so that they only came into effect when unemployment reached a certain level or when some other indicator was reached that showed the economy was nearly fully recovered.

Unfortunately, while politicians have been talking about the debt, it is much more difficult for them to take concrete actions to fight it. Cutting funding for programs and benefits in entitlement programs is extremely unpopular among voters, and Democrats have shown reluctance to modify Medicare or Social Security benefits and retirement ages. And Republicans have made tax increases taboo, though stabilizing the country's fiscal situation would probably need to involve both spending cuts and revenue increases. The debt has become a hot mid-term issue as Republicans insist Democrats are recklessly driving the country toward fiscal ruin. Democrats in turn have accused Republicans of wanting to cut the programs Americans rely on.

Few reports have been issued outside of think tanks offering comprehensive plans to combat our national debt. And there is disagreement over what defines a sustainable size for government debt (one commonly used international standard is 60% of GDP) and what level spending and revenues should be at when they are balanced.

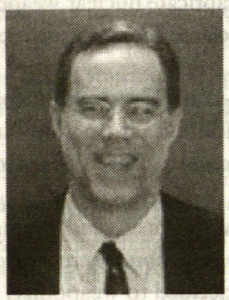
"Many politicians have been hostile to fighting the debt now.... But experts have been adamant that fiscal stimulus now and a plan to reduce the debt in the future are not mutually exclusive."

For now most politicians have refused to get specific, and instead imply that reducing waste and fraud would solve our national debt problem. Unfortunately, it clearly won't.

*All figures in this article are taken from the Congressional Budget Office, and refer to debt held by the public.

Countdown to a Nuclear Iran?

An Interview with Flynt & Hillary Mann Leverett



Conducted by Edward Fishman

Flynt Leverett is the Director of the Iran project and a Senior Research Fellow at the New America Foundation. His expertise is on the Middle East and Persian Gulf, U.S. foreign policy, and global energy affairs. He has served in a number of senior posts in the U.S. government, including Senior Director for Middle East Affairs at the National Security Council, counterterrorism expert on the Secretary of State's Policy Planning Staff, and Senior Analyst with the CIA.

Hillary Mann Leverett is a Middle East analyst and former State Department and National Security Council official. She is currently the chief executive officer of STRATEGA, a political-risk consulting firm. She worked for many years in the U.S. government on a number of Middle East issues, including as Middle East expert for the Secretary of State's Policy Planning Staff; political adviser on the Middle East, Sudan, and Central Asia at the U.S. Mission to the United Nations, and in U.S. embassies in Egypt, Israel, Kuwait, and Saudi Arabia; and Director for Iran, Afghanistan, and Persian Gulf Affairs at the National Security Council.

You have pushed for a U.S.-Iranian "grand bargain" to resolve existing tensions. In your view, would such a "grand bargain" require the United States to accept an Iranian nuclear-weapons capability?

FL: That depends on your definition of a nuclear-weapons capability. If your definition is uranium enrichment, then yes: the Iranians are already enriching uranium at levels far from weapons grade, but they are enriching uranium. They are stockpiling low-enriched uranium in quantities where in theory, if you took it out of storage, ran it back through the centrifuges and knew what you were doing, you could produce usable amounts of weapons-grade material. So if that is your definition of a nuclear-weapons capability, then yes. But I think that's a really silly definition of a nuclear-weapons capability. There's no shortage of countries in the world that by that definition have a nuclear-weapons capability, and I think over time the number of countries that have a nuclear-weapons capability by that definition will only grow. Under the NPT this is perfectly legal, permissible, and legitimate.

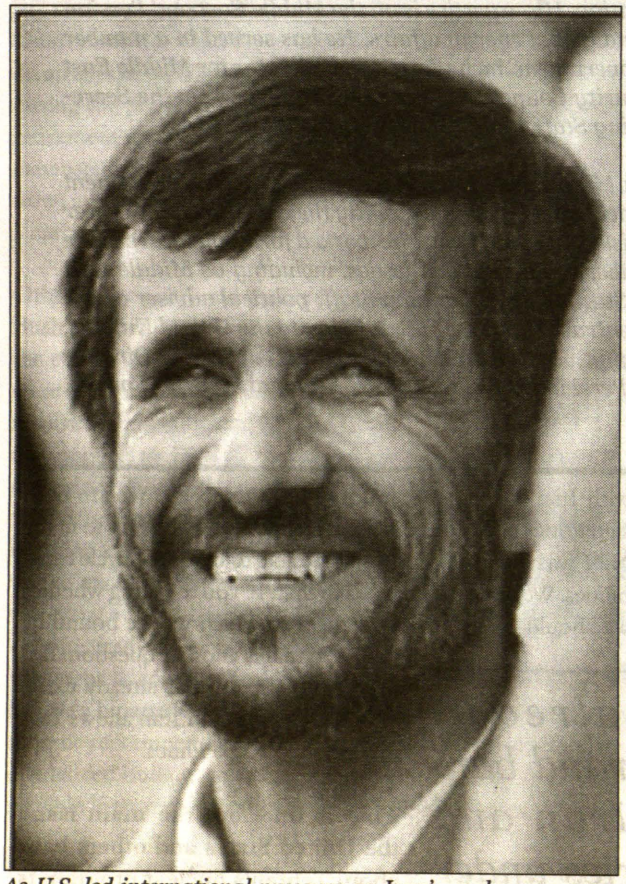
HML: That is critical: we've already reached a grand bargain with Iran and other countries under the NPT. We are both signatories of it. And the grand bargain we signed up to in the NPT was that countries would be able to have fuel-cycle capabilities. We've already agreed to that. If you're asking whether we should change the agreement to which we are bound by the NPT, that is another question. But the grand bargain that already exists between the U.S. and Iran allows Iran to have those capabilities.

> *"We've already reached a grand bargain with Iran and other countries under the NPT. We are both signatories of it."*

That is fine, but the main issue the United States and others have about Tehran's nuclear program is the secrecy that hangs over it, not to mention the regime's aggressive rhetoric. What could the United States do that would convince the Iranian regime to prove its lack of intentions to weaponize by permitting full inspections of all its nuclear facilities?

FL: The Iranians have said to us and others on many occasions that if the United States and its partners would stop insisting on suspension of uranium enrichment – if they would accept the reality in principle that Iran was going to enrich uranium – things such as the ratification and implementation of the Addition Protocol to the NPT and other verification measures that control the risks of fuel-cycle activities would

become eminently possible. If the principle of enrichment is accepted, and Iran is not treated differently than other countries, then Iran is prepared to ratify and implement the Additional Protocol, and negotiate other verification measures that should, properly implemented, give the international community confidence that the proliferation risks of its uranium enrichment are under control.



As U.S.-led international pressure on Iran's nuclear program heats up, President Mahmoud Achmadinejad is standing firm in his position that his country is developing nuclear energy for exclusively peaceful purposes. (GoogleImages)

HML: The nuclear component of what we're proposing for a bilateral U.S.-Iranian grand bargain would try to put Iran's nuclear program in a context where it could be more transparent and more open to sufficiently guaranteeing the United States that its nuclear fuel-cycle capability would not be diverted.

FL: We have had IAEA officials tell us that the agency gets better physical access to the Iranian facilities that it inspects – Natanz, for example – then it gets to analogous facilities in Western countries. The issue about the veil of secrecy is not really about what's going on at Natanz, it's about being able to access facilities that might not necessarily have been declared, which is covered under the Additional Protocol, and it's about other issues that aren't directly related to the fuel-cycle program, such as whether Iran has done some level of study, research, and exploration into other engineering issues that have to be solved in order to fabricate nuclear weapons. That's a different matter than its declared fuel-cycle program.

Many have argued that a nuclear-armed Iran would spark a dangerous arms race in the Middle East. In your view, how would an Iranian nuclear weapon affect the region?

FL: That's assuming that Iran actually wants to and has made a decision to go all the way to weaponization. I actually don't think there's any evidence they've decided to weaponize.

If Iran were to weaponize, would it beget a nuclear arms race in the Middle East?

HML: The Arab states have been in various states of war with Israel now for sixty years. Some have made peace, but there have been various states of war going on for sixty years. And for most of that time the Israelis have had nuclear weapons. The Arabs have declared, whether this is genuine or not, that Israel is their enemy. Yet when their enemy acquired nuclear weapons, the Arab states did not rush to acquire nuclear weapons. So to say that the acquisition of nuclear weapons by another enemy of the Arab states [Iran], again whether this is genuine or not, would cause the Arab states to do so ignores history. We have the precedent of how the Arab states reacted when Israel acquired nuclear weapons, and they did not follow suit. To then draw the conclusion that an Iranian nuclear weapon would have a different effect is unfounded. I think what you have here is the Arab states' antagonism toward Iran operating at the same time that there is a huge incentive for Arab states to develop nuclear power, for issues that have nothing to do with concern for Iran or nuclear weapons, but have to do with the desire not to waste their oil and natural gas on internal consumption.

Nuclear terrorism has emerged as one of the greatest national security fears in the United States. Given that Tehran is a known supporter of terrorist organizations, would a nuclear-armed Iran significantly enhance the risk of nuclear terrorism?

HML: The real concern we have here is with a country like Pakistan, which has nuclear weapons, and has a close relationship to the Taliban, which has a close relationship to Al Qaeda. I don't think there has ever been anybody who has really made the case that Hezbollah or Hamas is looking to acquire a nuclear weapon. It just does not make sense in terms of the conflict they have with Israel, in which their populations are on the same territory, to use a nuclear weapon. So

I don't think that there is really a serious concern that those groups are looking for a nuclear weapon and that Iran would abet such an attempt to get a nuclear weapon. It is not Iran and its proxies but the Pakistan-Taliban-Al Qaeda trifecta that is very, very disturbing in terms of nuclear terrorism. I think it is more of this idea of Iran being threatening that bothers us — not so much a serious concern about their relationships with Hezbollah and Hamas.

If either the United States or Israel attempts to take out Iranian nuclear facilities with air strikes, would a full-fledged war break out? If so, what would this war look like?

HML: First of all I don't think there would be very much difference between whether the Israelis or the Americans struck. I think the perception in the region, both in Iran and throughout the Arab world, would be one and the same. Israel would be striking because of its connections to the United States, the United States would be striking because it cares about Israel's concerns. I don't think there would be any difference between the two other than that an American strike would be much more effective. But either way the reaction inside Iran would be very serious. It would not just be serious in terms of trying to strike back against the United States in all the place that Iran can do so, but also in terms of cutting off our supply lines to our troops in Iraq, cutting off supplies to our troops in Afghanistan, and threatening our troops in both of those arenas.

"I don't think there would be very much difference between whether the Israelis or the Americans struck. [T]he perception... would be the same."

Would a war break out?

HML: One of the most misunderstood but most important things about the Islamic Republic is that it does not have the ability to project conventional military force in any significant way beyond its borders. So the war that would break out would not be a conventional one; it would be an unconventional one. The two ways that the Iranians could fight back against an attack would be to either dramatically step up their capabilities in the nuclear field, or try to mobilize some of its proxies. And it would not just be Hezbollah, but proxies through their relationships with a multitude of political factions, associations, and militias in Afghanistan and Iraq, not to mention Hamas and others. They would not necessarily retaliate with a big bang in some place, but rather a slow bleed. And it's something you already see happening. You already see the balance of power in the region dramatically shifting in Iran's favor: with Turkey, with Lebanon, with Palestine, with Syria, and with Iraq. Slowly but surely there's a northern tier forming in the Middle East with Iran at its core, with countries that are balancing against both the United States and Israel. If you had a strike on Iran, you would only accelerate that process.

FL: The Iranians' most strategically effective response, I would argue, would be a political one. I can guarantee that if either Israel or the United States strikes Iran there will be no international legitimation for it. There will be no Security Council resolution or anything else that could be at all plausibly used to justify it. And this is after the larger part of the world thinks that we went to war illegally in Iraq. If we do it again, and we do it again with Barack Hussein Obama as President of the United States, I think the image of the United States as this unconstrained, even outlaw military power, would be really ratified in powerful ways for a lot of players around the world. Rising powers like China will not confront the United States militarily over this, but let's keep in mind that if we're going to fight a war with Iran, we're going to be fighting it on borrowed money, and we're going to fight it on money borrowed in no small part from China, and from other countries that aren't going to take too kindly to actions that are going to raise their energy prices and put the global economy into turmoil. Are they really going to be willing to subsidize us this time around?

HML: Our concern particularly is that we could face a "Suez moment," where the U.S. today would be playing the role of Britain in 1956, where we either orchestra or coordinate with the Israelis to launch an attack that is so widely perceived as illegitimate, and that another power, an emerging superpower like the U.S. was in 1956—today it could be China—says, "You stop that or we'll pull our money out from under the dollar, just like Eisenhower threatened to pull American money out from under the sterling, and you'll be bankrupt over night." The Suez crisis was the beginning of the end of the British Empire. Are we now about to have our own "Suez moment," where the Chinese threaten to pull their money out from under the dollar and it's the beginning of the end of American empire?

It has been widely assumed that the Stuxnet worm was a government-backed cyber attack aimed at Iranian nuclear facilities. Do you think that cyber warfare is a good strategic option for dealing with the Iranian nuclear issue?

HML: During the Bush administration there was at least $400 million that was allocated to undermine the government of the

Islamic Republic through a variety of both covert and overt measures. This could have been one of those projects, and certainly it is perceived inside Iran as being one. The strategic question is, What do you want to achieve with it? Do you want to achieve the downfall of the Islamic Republic? If so, I don't think it's going to be effective. Do you want to achieve a rapprochement with the Islamic Republic? I don't think it's going to be effective. Do you want to somehow hold back their nuclear program? I don't know. I don't know whether this virus or other forms of cyber warfare could have the impact of retarding their technological progress. I just don't know. But on the other two questions, it won't bring about the government's downfall, and it certainly won't bring about reconciliation or rapprochement.

Emotions often run high in discussions of the Iranian nuclear issue. Given your positions, some critics have gone as far as labeling you "apologists" for the Iranian regime. How do you respond to these accusations?

HML: They are just ridiculous. What's interesting though is that one of the most distorting elements of the Iran debate today is not even so much the emotionalism involved, but the fact that the U.S. government has prohibited U.S. officials for the most part from ever having a discussion with an Iranian official. We're two of the very few exceptions, from when we worked in the U.S. government. I in particular had an extended negotiation with Iranian officials over Afghanistan, Al Qaeda, and Iraq. The problem is that most American officials, pundits, and commentators never seriously consider the Iranian government's position. You may reject it, like you may criticize the Syrian government's position on a variety of issues, but at least Bashar al-Assad is heard—other countries and other people are at least heard. The Iranian government's voice is never heard. What Flynt and I do is say we've had this discussion with these Iranian officials, and this is what they say about their strategy, this is what they say motivates them—we are simply reporting and analyzing it. We are not apologists. What's unique about our perspective is that we took the authority we had in the U.S. government to actually talk to Iranian officials, and we have continued the discussions in what's called a "track-two process," in which former U.S. officials meet with similar Iranian officials in their personal capacities. Ten years of discussions with these officials doesn't make me apologetic, but it does at least allow me to understand the Iranian point of view. The difference between our critics and us is that they can't even begin to grasp the Iranian perspective because they're simply not allowed to meet with them.

But is it not possible that Tehran is trying to game the system—that the regime is simply feeding the international community what it wants to hear, while not acting overtly defiant enough to inspire serious opposition, in an effort to buy time for their nuclear program?

HML: First of all, in the discussions and negotiations the U.S. has had with Tehran, they did deliver what we asked of them. They didn't do everything we wanted, but of the things we asked them to do they did a lot of them. And this track record is true not just in the discussions that I had. Look at Iran-Contra during the Reagan administration—why did Iran-Contra fall apart? It wasn't because the Iranians didn't hold up their side of the bargain; it was because Americans tried to divert the proceeds from selling weapons to the Iranians to arming the Contras, in violation of congressional mandates, and provoking a constitutional crisis here in the United States. Every U.S. administration has reached out to the Islamic Republic because they needed Tehran's help for something. It was not just Iran-Contra. George H.W. Bush reached out to Tehran to get U.S. hostages out of Lebanon. The Clinton administration reached out to Tehran to help get weapons to the Muslims in Bosnia, again because U.S. congress refused. The George W. Bush administration that I participated in needed Iran's help in Afghanistan and with Al Qaeda. In each one of these cases, the Iranians didn't do everything that we asked, but they did most of it. We have been the ones to cut off the dialogue.

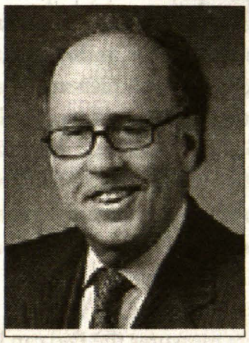
FL: The Iranians have their own narrative about this. Whenever they try to reach out and cooperate with the United States, they get slapped in the face in return. Take the Bonn Conference in December 2001, for example, where we agreed on the post-Taliban political order in Afghanistan. It literally would not have succeeded without U.S.-Iranian cooperation. And yet six weeks later Tehran gets labeled part of the "axis of evil."

You are married and have frequently co-authored articles. Is there anything you two disagree on?

HML: We do come from very different backgrounds. We are a mixed marriage. I'm Jewish, Flynt is Catholic. I went to Brandeis, he went to Texas Christian University. In some ways we have a different impulsive approach to issues, but I think for both of us, the experience of being in government and analyzing issues outside of government has made us very firm believers in dealing with reality as it is. We will often disagree in terms of an initial take, but then we both will say, "Let's step back and think about how this actually played out," and then, eventually, we basically do come to an agreement.

The Next China

An Interview with Stephen Roach



Conducted by Nick Rugoff and Joseph Mensah

A highly influential authority on the global financial system, Stephen Roach has been at Morgan Stanley since 1982, most recently as the Hong Kong-based chairman of Morgan Stanley Asia and previously as chief and senior economist. He is currently a Senior Lecturer & Senior Fellow of the Jackson Institute at Yale University. His work has appeared in academic journals, congressional testimony and on the op-ed pages of the Financial Times, The New York Times, The Washington Post and The Wall Street Journal. China Business News named his latest book, The Next Asia, the 2009 Book of the Year.

NR: You attended a widely publicized event with Chinese Premier Wen Jiabao last week. What is your biggest takeaway from that meeting?

The thing that struck me the most came from Henry Kissinger, who hosted the meeting. If there is one man in the United States who really defined America's initial engagement with modern China, it was Kissinger with his secret missions to China in 1971 that paved the way for Nixon's famous trip to China in 1972. Kissinger observed at this meeting that there is a certain irony in the way the U.S. – China relationship has evolved over the past 40 years. When the relationship began back in 1971, the U.S. had a very hostile relationship with China, but quickly learned how to work with China. Today, the U.S. has a much friendlier relationship, but is actually having a harder time learning to work with China. That juxtaposition is a pretty telling observation of how difficult it is for the United States to figure out what role China plays in its own growth and raises a lot of questions. Is China a partner or a competitor? Is it interested in strategic engagement? Is there a threat? What does China stand for? I think Kissinger's observations would be pretty close to the top of my list insofar as what I took away from the meeting with Premier Wen Jiabao.

JM: In July you gave a 45% chance of a double-dip in the U.S. by year's end. Do you still feel this way?

The year is almost over, so I may have to lower my prediction to 39.8% (laughter). I think the odds of a U.S. double-dip occurring this year have receded well below 40%, but I'm not prepared to say that the U.S. is in the clear. The point I made when I wrote the now infamous "double dip" piece at the start of 2010 is that we are in an anemic recovery environment where we don't have the normal cushion provided by a standard vigorous recovery that allows us to withstand the blows from a shock. Shocks come along. For example, we've recently seen a European sovereign debt crisis. Was that enough to cause a relapse in the world? So far, no, but it certainly could under certain conditions. This double-dip debate will be around for a while. The U.S. recovery is going to be weak for quite sometime. In that context, if we avoid a double-dip this time, there's no guarantee that we'll avoid it when the next shock occurs.

NR: You've argued that the recent heated rhetoric over the yuan is more political than practical. Why do you believe this is the case?

America has a jobs problem. We have a 9.6% unemployment rate that would be even higher than that if you threw in people who have given up looking for work. Even for those working, wages have been stagnant in inflation adjusted terms for over a decade. American middle class workers are understandably ticked off and they're holding their politicians accountable. Politicians either do not have answers, or the answers they do have not resonated with hard-pressed American workers. So instead, politicians have sadly chosen to blame someone else – China.

The argument that politicians make to American middle-class workers is that your problem is trade – that we have a big trade deficit, and that the biggest piece of that deficit is with China. China "manipulates its currency," goes the argument, and if we get them to strengthen their currency, things will be better. That's the Washington argument, and its reinforced by a lot of economists with pretty fancy pedigrees, including a Nobel Prize in the case of Paul Krugman, who underscores the fact that currency manipulation is strangling American workers. As I recently wrote in The New York Times, I happen to think that that's completely wrong. If you look at the U.S., we don't have a bilateral trade problem with China – we have a multilateral trade deficit with ninety countries. The reason

we have that is because we don't save. So, as we are unwilling to boost savings given our large budget deficit and low household savings rate, we're going to have a multilateral trade deficit with a large number of our trading partners for years to come. If we close down trade with China, the Chinese piece will just go somewhere else. This is an example of bad economics driving bad politics.

JM: You've cited a lack of national savings as a major problem for the United States. What strategies do you suggest in order to boost domestic savings?

In 2008, our national savings went negative for the first time ever. By national savings I mean the savings of individuals, businesses and the government sector, adjusted for depreciation. Last year the net national savings rate was -2.3% of US national income, which is the biggest shortfall of saving for a leading economic power in the modern history of the world. There are two things we have to do to boost saving. First and foremost is the budget deficit. We're running trillion dollar budget deficits as far as the eye can see. The crisis certainly raised these deficits, but there's really no hope that we're going to get out of this quagmire just because the crisis is over. We need a credible exit strategy from outsize government budget deficits. Additionally, we need incentives for individuals to boost savings. The US personal savings rate for households went down to about 1% during the height of the property bubble because people got convinced that home price appreciation was a new and permanent source of savings. That's wrong. Savings are now adjusting, but they're still below the long-term average. Whether its expanded IRA or 401(k) plans, there are a variety of savings schemes that could be expanded

.

JM: What measures can the US take to increase the prudence of the consumer?

I think the biggest mistake we made was a lack of regulatory oversight and undisciplined monetary policy. We have passed a variety of new measures via the Dodd-Frank bill that will hopefully make the regulatory environment more understandable and more consumer friendly by cutting down lending abuse and mistakes that consumers made such as taking on obligations they couldn't afford. However, we still have not addressed the monetary policy problems that have allowed the Fed to condone asset bubbles and run a much easier monetary policy over the last fifteen years than should've been the case. Until we do that, I'm afraid consumers could still be exposed to another bubble, and make very irrational decisions on savings and spending on the basis of not believing that it's a bubble.

NR: You've advocated that the Fed should take action to prevent asset bubbles from occurring. How can the Fed determine when an asset bubble is actually occurring? If it can, what policy instruments should it use to burst it?

To answer the first question, the Fed has used explanation as a copout. They always say how it's impossible to tell if there is an asset bubble. I am afraid that is just ludicrous. We all knew there was an equity bubble in the late 1990s in dot-com and technology stocks that had huge spillover effects to the rest of the asset class. We all knew there was a property bubble with home prices rising at a record rate. We knew there was a credit bubble as credit spreads – the relationship of the price of credit to other financial instruments – were tighter than they've ever been. That made no sense. It is a total cop-out to say it's impossible to tell if there are bubbles.

Moreover, there are some concrete measures the Fed can look at to help them identify bubbles. First, the Fed can consider the rate of appreciation of assets. When you have a sustained period where asset price increases are accelerating, in other words, house price increases are going from 5% to 6% to 7%, you know you're on a trajectory where the second derivative, the rate of change in the inflation rate, is being driven more by speculation than by intrinsic fundamentals driving the asset class. Second, I think you need to look at the related growth in leverage. Forget about house price inflation; if mortgage finance is growing in an outsize rate, then you know that there are a lot of spillovers into the credit dimension of the asset class. Third, you need to look at the distortions on the real side of the economy that are affected by asset plays. In the case of the US, we had consumption growing faster than income for twelve years. We had homebuilding activity at a record share of GDP even though the rate of growth of the population had stabilized long ago. At its peak, close to 77% of the US economy were sectors such as consumption and homebuilding activity that had risen five percentage points above the average that prevailed in the final quarter of the twentieth century. When you have distortions in the real economy, you know something is screwy. What should the Fed have done about it? It should have run a tighter monetary policy, and been much more aggressive in using some of the administrative measures they have at their control, such as increasing loan-to-value ratios. They didn't do it. They did the contrary. Greenspan repeatedly extolled the virtues of subprime lending as providing home ownership through creative new technologies to a class of American income distribution that never before could experience the joys of home ownership. Well, many former subprime homeowners not enjoying the lasting and bitter aftertaste.

NR: What lessons should U.S. policymakers draw from Japan? Have they done so?

The answer to the latter question is no. We are steeped in de-

nial, believing that we're smarter than the Japanese and have learned from their experiences, so their problems could never happen to us. The lesson that we should have drawn is that you do not allow asset bubbles to infect your real economy. In retrospect, the most serious mistake the Japanese made was to allow an equity and property bubble to distort business capital spending, which at its peak in Japan was close to 20% of Japanese GDP. In the U.S., the bubbles ended up affecting an amount nearly four times the size of our economy. We didn't learn anything. The single most important lesson is that once you have allowed the bubble to infect the real side of your economy, the post-bubble aftershocks invariably last for a lot longer than you think.

JM: Is there a Chinese housing bubble?

There was a bubble in high-end property in about twelve Chinese coastal cities. The government moved quickly last April and imposed administrative measures on loan-to-value ratios, especially for the multiple home purchases of speculators, and the bubble has burst. This is an example of Chinese authorities moving sooner rather than later and preempting rather than reacting to an asset bubble.

NR: And you'd like to see these types of policy actions occur in the U.S.?

Yes. The idea that we could have zero interest rate, no down payment, and negative amortization mortgage loans in retrospect is scandalous. The regulators and central bank never said a word, so I would definitely like to see a more disciplined approach and better regulatory oversight of U.S. mortgage and consumer lending.

NR: You claimed you would have voted against the reappointment of Ben Bernanke as Fed Chairman.

The day after Obama reappointed Bernanke in August 2009, I was on vacation. I was not too thrilled with the news, so excused myself from my family and went upstairs to write a piece that was published in the Financial Times the next day. I took a lot of flack for my rather public position. But I felt that Bernanke, like Greenspan, was too easy on asset bubbles and not willing to focus monetary policy on broader concerns related to financial stability.

We need central bankers in America who are good at avoiding crises, not at attempting to clean up the mess after a crisis. Bernanke's view has always been that monetary policy should be used after the fact or post-crisis, rather than pre-crisis, and I think that's wrong.

JM: You wrote an excellent piece on India earlier this year. What are some of the biggest challenges India is facing?

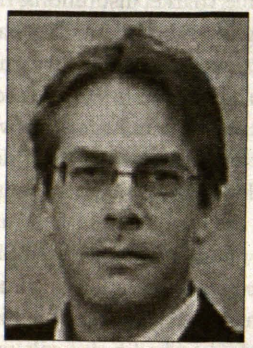
The first challenge for India is getting the macro right. I think they've done a good job with the micro, in terms of having good companies, a strong workforce, market institutions, rule of law, and democracy. For a long period of time, they have suffered with relatively low savings, inadequate infrastructure, and very limited inflows of foreign direct investment. In recent years, all three of those macro characteristics have improved a lot, but they are still well below levels that we see in China. Savings rates have moved from below 20% of national income into the 30% range, but in China they are over 50%. Savings are a key metric because it's very important for developing countries to generate much of their investment funding internally rather than to have to rely on external sources of capital. The second challenge is that India has had a difficult time since the early 1990s at pushing ahead aggressively on economic and financial reforms. This was particularly bad from 2004 – 2009, when the Congress Party ruled in conjunction with the Communist Party. It was very difficult for them to run that country with Communists as partners, but even though the Communist Party has recently been defeated, the reformers are still not as aggressive about economic change as I'd like to see.

NR: You're teaching a popular Yale course this year titled "The Next China." For the 5,000+ students on campus who will not be able to take your class, what would you want them to know about the next China?

The China that you see today, which is such a powerful story in the annals of economic development, is not the China you will see over the next thirty years. China needs to change for a variety of reasons. I agree with China's own Premier, Wen Jiabao, who has said in no uncertain terms that the current growth model is not sustainable. The Next China will have to broaden out the base and focus on stimulating their own internal consumer markets, which would give them better balance, less frictions with the rest of the world, and more opportunity to focus on the quality of economic growth rather than the quantity of economic growth. China is not a static construct. While the last thirty years have been spectacular, as we say in the investment business, past performance is not necessarily indicative of future developments.

The Future of the U.S.-Led World Order

An Interview with G. John Ikenberry



Conducted by Edward Fishman

G. John Ikenberry is the Albert G. Milbank Professor of Politics and International Affairs at Princeton University in the Department of Politics and the Woodrow Wilson School of Public and International Affairs. Professor Ikenberry is the author of After Victory: Institutions, Strategic Restraint, and the Rebuilding of Order after Major Wars, which won the 2002 Schroeder-Jervis Award presented by the American Political Science Association (APSA) for the best book in international history and politics. Among many activities, Professor Ikenberry has served as a member of an advisory group at the State Department in 2003-04, and he was a member of the Council on Foreign Relations' Henry Kissinger-Lawrence Summers commission on the Future of Transatlantic Relations, which issued a report in 2004. He received his Ph.D. from the University of Chicago in 1985.

You have claimed that the "most serious threat to U.S. national security today is not a specific enemy but the erosion of the institutional foundations of the global order that the United States has commanded for a half century." Can you briefly describe what constitutes this "global order," and why is it eroding?

For half a century the world has had a system of governance and security provisions, organized around American hegemonic leadership and constituted in alliances and multilateral institutions, which has connected Washington to the world and bound regions together by facilitating collective action in various areas of economics, politics, and security. That system is now under strain, due to a double set of movements. On the one hand we see a slow diffusion of power away from the United States, manifested in the rise of new powers in Asia and elsewhere; and on the other hand, we see the decline of unipolarity, coupled with the simultaneous rise of greater economic and security interdependence. This double set of movements has created great challenges for the global system, with a less concentrated order and less authority wielded by the United States, but also with a growing agenda for cooperation on new global challenges. It is in this context that the Obama administration finds itself. When we talk about the agenda for American foreign policy today, we ought to begin with these grand shifts in the system.

What can the United States do to rebuild this global order?

This is where the crucial debate is situated. The question is really whether the old order is being challenged in a fundamental way by new powers and new global challenges that will, over the course of a generation, generate a crisis—we might call it a 'constitutional crisis' in the global system—in which we are forced to rethink principles, rules, institutions, and modes of cooperation on global and regional levels; or whether we are in a more gradual evolutionary situation where states outside of the West are seeking to become and can be convinced to become stakeholders in the existing system. The first vision is of a fairly radical challenge to the existing order; the second is really the story of the U.S. giving up some of its authority, privileges, and rights in exchange for stable and responsible stakeholder partnerships with countries such as China, India, and Brazil.

To use an analogy, are we at a moment where the American-owned 'company,' call it 'American Incorporated,' is being pressured to go public, and there will be an IPO in which other countries can buy into the company and earn seats on the board of directors? Or are we at a moment when disillusion with 'American Incorporated' will lead to the creation of other companies centered elsewhere in the world? My own argument is that we are at a stakeholder moment, and so the U.S. needs to be soliciting partners, renegotiating bargains, and expanding institutional membership. This, it seems to me, is the big agenda: to reestablish the foundations for a system of multilateral cooperation, partnerships, and alliances across the global system. To the extent we succeed in this, the crisis of the current moment could give way to a new kind of equilibrium.

Recently, commentators have suggested that China is presenting the world with a tempting alternative model to that of the United States. Does China present an ideological challenge to the United States?

No it does not. China does not have an ideology of global order. I do not see a single shred of 'idea.' And I think China would largely admit to this. China has preferences and biases like all states, and on balance it would like to preserve its

sovereignty, maintain stable relationships, expand its trade, and secure resources and energy. Domestically, China clearly is seeking its own path of reform without a true move toward liberal democracy—so in a sense, it is seeking to preserve a kind of authoritarian domestic model. I'm skeptical, however, that it's a stable model on the home front, and I'm certain that it does not aggregate into a global ideology.

So are you saying that if the United States makes the rights decisions, then the world order could look the same even with China surpassing the United States in material power? That a China-dominated world order could be one where it wouldn't be so bad to be the United States?

Yes—with the understanding that it will evolve, and China will make its own mark just as other countries do. It will be a more pluralistic order, but for me the critical question is this: Will the order that emerges in the wake of these great power transitions remain organized around openness and rules? These are the basic defining features of liberal international order. Is it open rather than closed and built around blocs, empires, and spheres? And is it based on more or less agreed-upon multilateral rules? My sense is that the international constituency for openness and rules is quite robust, and that even if China's GNP surpasses the United States'—if that ever happens—China will want to exist in a world that is loosely open and rule-based. China will find advantages in the WTO and other international institutions, which allow big states to protect their far-flung interests. Also it is not just China versus the Untied States—it is really China versus the larger OECD world, which is to say the larger world of liberal democracies and advanced industrial societies. And that aggregated whole is huge. Even when China catches up with the U.S. it will not be close to the larger aggregate. The gravitational force of this mass complex will certainly affect China's decisions to integrate versus oppose the world order.

Many prominent academics and commentators have come out recently claiming that NATO has lost its purpose and should be disbanded. Do you agree? If not, what is the purpose of NATO in today's world?

NATO is a victim of its own success. Western Europe is not as threatened as it was in the past, and so the obvious and most direct rationale for NATO has disappeared. But I think it continues to play various roles that both sides of the Atlantic will want to keep. First of all, it is a structure for political and security dialogue and aggregating capacities for contingencies. It also has a strong political rationale: it's architecture, and it's the most successful alliance in history. It provides institutions for Europe and the United States to do political 'business.' It ties the United States to Europe; it gives the United States a voice in Europe; and it still does provide a security guarantee and a background insurance policy for Europe.

NATO also is a framework that has allowed Eastern European states to integrate and thereby strengthen those states' foundations for participation in the EU. And it does play a useful global role—the world is full of problems where at some point you need capacities to airlift and deploy, and NATO provides legitimate tool for projecting these capacities. So I can't see a sizeable constituency that wants to pull the plug, even though the vividness of NATO's rationale has faded and may not be fully revived. But just as our alliances in East Asia have a kind of 'public goods' rationale—they provide stability, tamp down security dilemmas, and are generally a reassurance mechanism—NATO plays similar roles in a diffuse sort of way.

I just read Michael Mandelbaum's new book *The Frugal Superpower*, in which he calls NATO expansion one of the two greatest mistakes of post-Cold War U.S. foreign policy, along with the 2003 invasion of Iraq. Do you agree with this?

I did not support NATO expansion. I was in favor of other mechanisms, as I did not think that NATO expansion was worth the risk of provoking and upsetting the settlement between Russia and the United States. But I do understand the rationale, and I do believe that NATO expansion did some good things in reinforcing civil-military relations in Eastern Europe and providing frameworks for these states' economic and political integration into the wider European region.

The big mistake, it seems to me, was once the decision was made to expand NATO, we did not simultaneously find methods to engage and tie Russia to the West in mutually agreeable ways. We needed to have both of those movements. So we lost sight of the arms-control and disarmament agendas that Reagan and Gorbachev launched and celebrated, and which provided the real ideational basis for a peaceful end to the Cold War. And we have in some sense failed to balance our fervor for extending NATO in the name of supporting young democracies with our more pragmatic sensitivities about how to keep Russia and the West working together on larger global issues.

I am glad you brought up disarmament. Certainly one of the greatest foreign policy successes of the past fifty years has been the nuclear non-proliferation regime. But with North Korea's defiance of the NPT and Iran's accelerating nuclear program, the whole non-proliferation architecture appears in crisis. What should the United States' priorities be in efforts to curb nuclear proliferation?

I applaud the Obama administration for putting non-proliferation and the NPT back into the middle of the American foreign policy agenda. I am glad Obama's various efforts have included trying to reanimate the underlying bargain of the NPT, which holds that the U.S. and the other nuclear-weapon states would make conscientious efforts to reduce and ultimately, in the long term, eliminate their weapons, in return for a commitment from non-nuclear states to stand down from the acquisition of weapons, and to cooperate globally on creating conditions that will reduce the incentives for all states to acquire nuclear weapons. I also applaud his efforts to find ways to get around the fuel-cycle issue, and to find ways to allow civilian use of nuclear energy without it being a surreptitious means of acquiring weapons capabilities.

We will need to find new ways to internationalize the fuel cycle and deal with the complexities associated with dual-used technologies that are part of acquiring nuclear energy. So that whole agenda, it seems to me, needs to be pushed very hard—and the U.S. has got to push it. And it will require strategic patience and a lot of diplomacy. In the background, the problems countries like North Korea and Iran pose cannot be solved by the NPT as such, but the NPT continues to provide legitimacy for global efforts to sanction these states, indicating in effect that if they want normal relations with the outside world, they have to adhere to the behavioral standards that everybody else does. That kind of legitimation for long-term sanctions, with the idea that someday new leaders will find reasons for new bargains, is strengthened by a healthy NPT regime.

If you were President of the United States, what would your Iran policy be right now?

I would be sanctioning and talking. We have to create costs for the regime's defiance, and we must make it clear that Iran cannot be a normal, integrated, regional power without cooperating on issues of nuclear energy and power. But I would obviously be wanting to talk, and opening the door for what would hopefully be a big bargain down the road, which would both bring Iran into the region in a constructive way and make it less threatening to other states such as Israel.

'Democracy promotion' has become a dirty word in U.S. foreign policy in light of our predicaments in Iraq and Afghanistan. Is this the right lesson to take from the Bush presidency? How should democracy promotion figure into American foreign policy today?

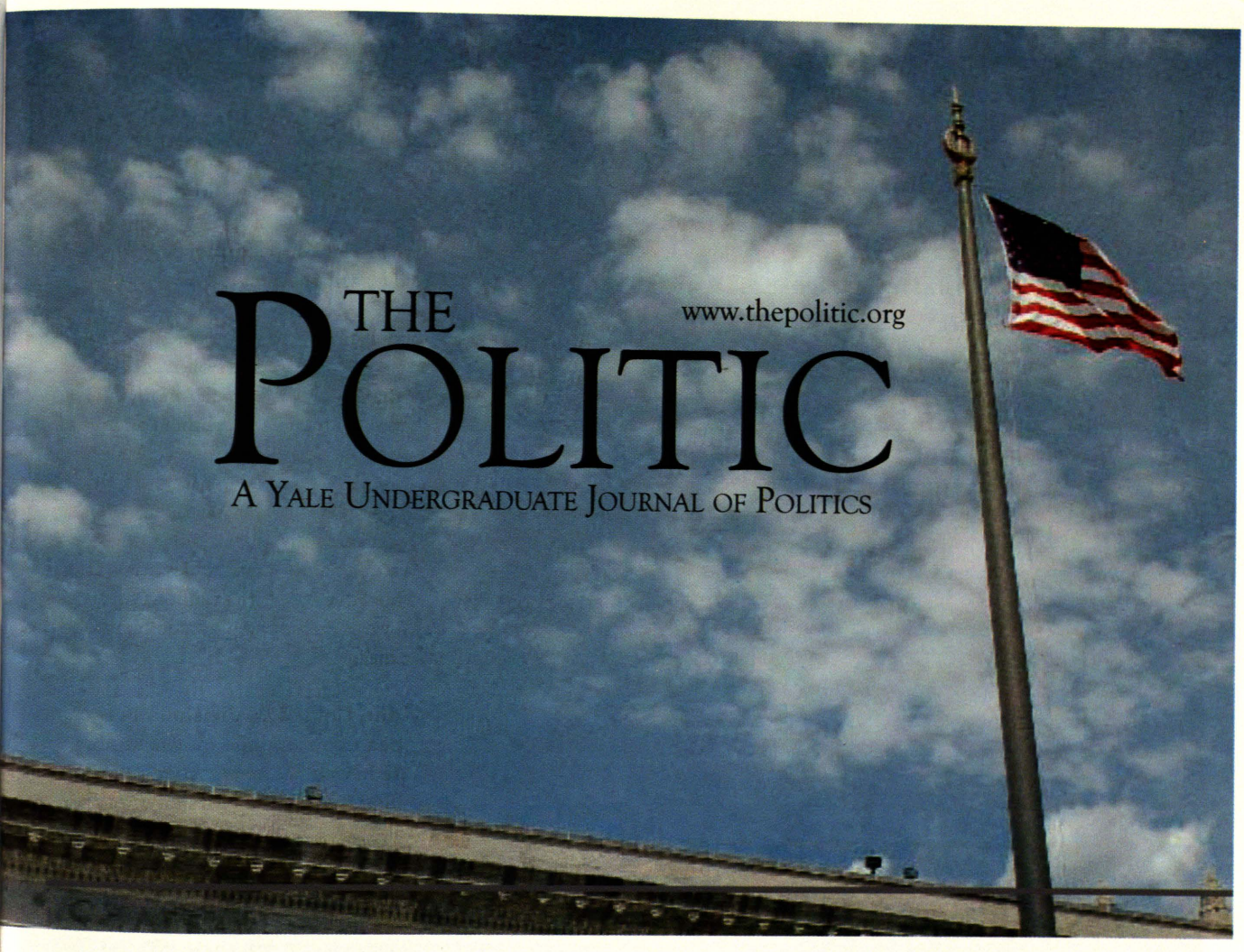
After the Bush administration there has been a decline in enthusiasm for democracy promotion worldwide, and understandably because it hasn't worked very well, and some see it as simply a fig leaf for the United States to pursue its strategic interests. We have been hypocritical by supporting democracy promotion when we want to pressure regimes that are out of our favor, and ignoring democracy issues with client states that are part of our security order. Likewise we have been sobered by finding that in some states democratic elections do not yield parties and leaders that suit us.

For me, the lesson should not be that democracy promotion should be taken off the American foreign policy agenda, but rather that we should think about it in much more indirect ways. We should care about dissidents make them an important part of our diplomatic agenda. But the actual process of democracy promotion requires more attention to the global political and economic system—keeping it open, keeping regions stable, solving war and peace issues, and letting states move toward democracy on their own time tables. An indirect system-wide vision of how to create the conditions for states to move along this pathway is the first step to redefining what democracy promotion means.

Since the end of the Cold War, divisions between American and European conceptions of world affairs have been accentuated. Can we really speak of "the West" as a cohesive bloc in foreign affairs anymore?

There is a democratic community. 'Bloc' is probably too strong of a word, but there certainly is not a divorce or estrangement between Europe and the United States. Both the United States and Europe in recent years have exposed their vulnerabilities—economically in particular—and the hard edge of difference over global order has softened, as there is mutual interest in stability and rethinking globalization, financial interdependence, and the role of the state and the market, in addition to struggling with aging populations and how to reestablish the fiscal integrity of the state.

We are in the same boat on many issues. When Europe and the United States look around and see the rest of the world catching up, they have incentives to think cooperatively about how to greet the rising states. So there is much work to do together. Even though we have had a troubled first decade of the twenty-first century, the West, it seems to me, has shown that there is something special about democracies and their ability to work together, and that there is a normative consensus on basic issues, which allows the West to move on and work together without worrying about relative power and relative gain. The democratic community, enshrined in U.S.-European relations, remains an important part of the global circuitry for the twenty-first century. We may not wave our hands about it as much as we used to, but it's still there and it's still valuable.



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